

THE OWNERSHIP HUB REPORT

Supporting Legacy, Scale, and Funding in the
Creative Sector — A guide to legal Forms and
Funding Access for Creative Industries in the
West Midlands





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OVERVIEW

Research Aim

Research aim: This report attempts to explore how creative businesses in the West Midlands choose their legal form, assess how legal structure influences access to funding and business growth, and develop practical guidance to support future decision-making around legal entities and financing strategies. It has been collated based on secondary content analysis and corroborated with data and insights collected from interviews with both, creative business owners and funding organisations.

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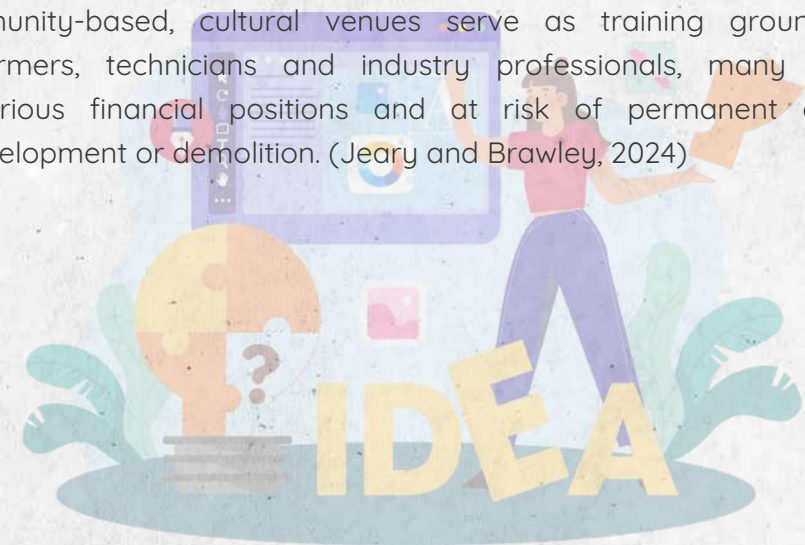
Legal forms aren't exactly the most romantic part of running a creative business— but they might be the most important. For many creatives, words like co-operative, limited company, or CIC often sound more like bureaucratic riddles than strategic choices. Yet behind each acronym lies a structure that can open (or quietly close) the door to vital funding opportunities.

This challenge comes at a time when the creative industries have never been more central to the UK economy. Defined by the Department of Culture, Media and Sport, creative industries are.

“...Those that originate from individual creativity, skill, and talent, with the potential to generate wealth and jobs through the creation and exploitation of intellectual property.” (DCMS, 2001)

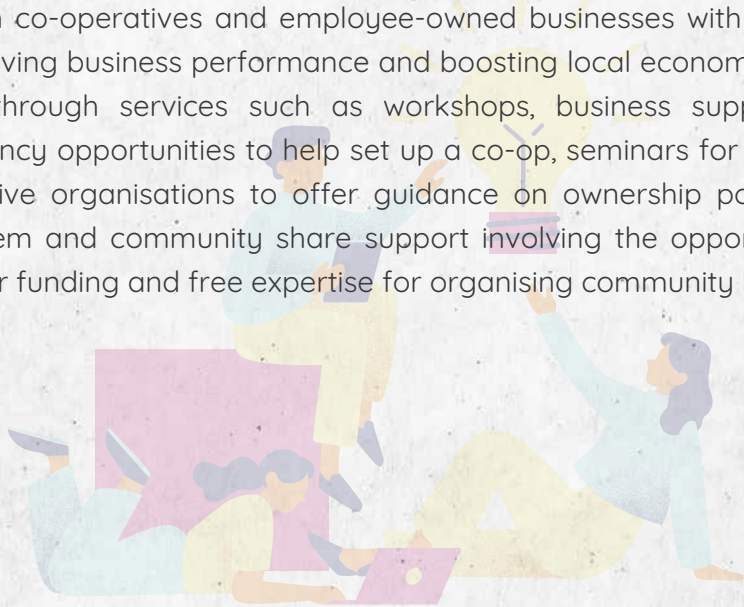
They have been identified by the government as one of the eight ‘growth driving’ sectors of the economy and will be a key priority in the government’s industrial strategy. (Newson, 2025) As of 2023 the creative industries contributed £124bn in gross value added (GVA) to the UK economy—5.7% of the GVA of the whole economy. There were 2.4 million jobs in the creative industries in 2023-24 and contributed to 7% of the overall employment rates in the country. (Newson, 2025) Moreover, these industries are drivers of innovation, play a crucial role in public discourse, offer cultural experiences and opportunities of self-expression and help build a community identity wherever they are embedded. It is abundantly clear that the creative industries are an integral part of our economy and society. The creative industries have come to be celebrated for their innovative breakthroughs, their ability to tell stories that change the world, and their incessant want to make a difference to people’s lives wherever they are embedded. (Deslandes, 2016)

However, like most others industrial sectors, the creative industries face their own set of unique challenges. In general, work in the creative sector is characterised by risk, uncertainty and precarity. (Hesmondhalgh and Baker, 2010; Jeary and Brawley, 2024) Closely tied into this is the challenge of creative business to access funding opportunities. Callum Mcavan (2024) writes about how it is not uncommon to see organisations so under-capitalised or are unable to access funding opportunities. Consequently, they regularly miss out on opportunities to explore new projects or take risks. In fact, core grant-in-aid funding for UK arts and cultural organisations fell by 18% between 2010 and 2023—which severely impacted the income streams of the organisations. (Lord’s Library, 2024) It has, subsequently, led to an increase in dependency on private funders (often received in the form of donations or sponsorships) and revenue from commercial activities such as ticket or merchandise sales. Other challenges include insufficient policy attention to certain sub-sectors of the creative industries and uneven distribution of resources across the creative industries—while smaller, community-based, cultural venues serve as training grounds for performers, technicians and industry professionals, many are in precarious financial positions and at risk of permanent closure, redevelopment or demolition. (Jeary and Brawley, 2024)



Over the years, different initiatives have been undertaken to address these challenges and mitigate the uncertainties that the sector brings. One such initiative is the West Midlands Ownership Hub Programme—a collaboration between Co-operatives UK and the West Midlands Combined Authority to raise awareness about the benefits of employee ownership to freelancers, business owners and policy makers in the region. According to a West Midlands Cultural Economy Report (2022) The West Midlands has the third largest cultural and creative sector in the UK after London and Manchester, commanded an annual growth of 8%, employed 40,000 professionals—with 50% added on when taking freelancers into consideration, across 10,000 creative enterprises as of 2022.

The Ownership Hub Programme has been working to encourage and establish co-operatives and employee-owned businesses with the goal of improving business performance and boosting local economies. They do so through services such as workshops, business support and consultancy opportunities to help set up a co-op, seminars for founders of creative organisations to offer guidance on ownership possibilities after them and community share support involving the opportunity to apply for funding and free expertise for organising community buy-outs.



Among the many challenges faced by creative businesses detailed above, one that is increasingly coming into focus is the relationship between legal structure and access to funding. As part of the Ownership Hub's work in the West Midlands, conversations with creative practitioners have frequently returned to a central concern: the lack of clarity around which legal forms enable, restrict, or complicate access to finance. When independent freelancers form a co-operative to become more resilient, they must make crucial decisions about legal status—decisions that carry implications for eligibility in funding schemes. For example, a small theatre group might start informally but decide to register formally to access funding. They then face a key choice: become a limited company, charity, or CIC? Each option affects what funding they can apply for and how they run. Different legal forms have different funding implications. Despite this, it has been realised that little research exists to demonstrate how creative business owners access funding and whether funders and investors favour certain legal entities such as charities or limited companies—over others, like community benefit societies or co-ops.

Greater understanding of funders' preferences could help address this gap, offering clearer pathways for creative businesses to scale, sustain, and thrive—especially those working in under-resourced or non-traditional models. This report in collaboration with the West Midlands Combined Authority—Ownership Hub Programme, seeks to bridge this gap by exploring how creative businesses choose their legal form, assessing the funding implications of such choices and building a framework to support future decision-making around legal entities to enhance their access to funding opportunities.



RESEARCH AIMS

The overall aim of this report is to explore and examine the decision-making process of creative business regarding particular legal entities and investigate the preferences of funders while choosing particular legal forms to invest in. Drawing on insights from both creative enterprises and funders, the report seeks to develop a practical guide to support informed decision-making and long-term sustainability within the creative industries.

To explore the key factors influencing creative businesses in their choice of legal form.

To understand the experiences of creative enterprises in accessing funding and their strategies for future fundraising.

To analyse the growth trajectories of creative businesses and how these relate to changes in legal structure.

To identify funders' and investors' preferences regarding different legal entities within the creative sector.

To develop a practical action plan and guidance resource on legal forms and funding access for creative businesses.



METHODOLOGY

The qualitative nature of this report commanded a research methodology that would generate valuable insights from both, creative business owners as well as funders. Consequently, our research objectives were pursued first and foremost through public domain content analysis, which involved reviewing available academic and other literature on funding in the creative industries. This review provided information that helped lay a strong foundation for the next research method—interviews, conducted with the business owners and the funders.



The first part of the research methodology—analysis of secondary data—involved reviewing and analysing existing information about the creative economy in the United Kingdom. According to Johnston (2014) such analysis involves using data that was collected by someone else for another purpose but is a credible method to generate knowledge. When following accurate research principles and a systematic process of analysis through collection, analysis and interpretation—secondary data can provide rich insights on a particular issue. (Johnston, 2014) Reviewing secondary sources such as organisational websites, reports, and existing interviews helped streamline the research process, focus the collection of primary data, reduce the burden on participants, and avoid duplication. It also ensured that interviews could explore areas not already covered in the public domain. (Cheong et al., 2023)

This was followed by semi-structured interviews with creative business owners in the West Midlands and funding organisations. Semi-structured interviews comprise of an amalgamation of close and open-ended questions and followed up with how/why questions. (Adams, 2015) This method enables for a deeper probing and discussion into unforeseen themes, issues and ideas while still maintaining a structured focus on the overall research aim and individual objectives. Moreover they are extremely valuable in supplementing and adding depth to other approaches—in our case, secondary data analysis. (Adams, 2015)

Data collection

Since the first part of the research involved secondary data analysis, our first step was to identify relevant data sets and sources that would contribute valuable information to the study.

Examples of these include sources that provided detailed information about the creative economy in the United Kingdom, and its key challenges with a keen focus on access to funding. This was corroborated by statistical findings highlighting key economic figures, significant to the study. Our research was diverse and included a wide range of references such as articles published by the House of Lords Library, the Government of UK website, press releases published by the UK Parliament, industrial reports by organisations like Nesta and the West Midlands Combined Authority. Finally, our sources also included the websites and social media corollaries of the West Midlands Combined Authority, along with those of the creative business owners and funders. It might be worthwhile to note, therefore, that a purposive sampling strategy—intentional selection of sources based on specific characteristic relevant to the study—was undertaken to collect data for this part of the research.

As this study is in collaboration with the Ownership Hub Programme of the West Midlands Combined Authority and Co-operatives UK, the participants for the semi-structured interviews were selected by Jo Ind—Project Coordinator at West Midlands Ownership Hub. Once again purposive sampling was used to identify creative businesses in the region with specific legal forms such as charities, co-ops, community benefit societies and private companies limited by guarantee. Participants were identified by Jo along with others at the Ownership Hub Programme, who have built a strong network with creative business owners over the years. A full list of creative businesses and their profiles can be found in Appendix A of this report.



The team of researchers at the University of Warwick then set up semi-structured interviews with the participants. These were conducted for a duration of 30-60 minutes over Microsoft Teams. The data was stored safely on the university provided One Drive and explicit, written participant consent was obtained for the interviews.

The research was subject to certain limitations, including the need to adhere to a fixed university submission timeline, as well as delays in scheduling interviews due to the limited availability of participants, many of whom are full-time professionals with demanding workloads.

Framework for analysis

The interviews conducted as part of this study were not anonymised, as participants had consented to being identified in the research. Each interview was recorded and transcribed in full. The transcripts were then carefully coded using a thematic analysis approach to identify recurring patterns, concepts, and insights across participants. This coding process allowed the research team to draw out meaningful connections between legal form, funding access, and business growth. *Detailing the coding process*

Rather than presenting the findings from our secondary and empirical research in a fragmented or purely categorical format, the insights from the interviews have been woven into a cohesive narrative framework. This approach allows for a storytelling structure that reflects the lived experiences, strategic choices, and funding journeys of the creative businesses interviewed—providing both analytical depth and practical relevance.

A qualitative-interpretative research approach was chosen for this project. Its goal was to gather an in-depth understanding of how different legal structures and ownership models affect access to finance, strategic positioning and organisational practices of creative organisations in the West Midlands. Based on semi-structured interviews with creative industry stakeholders and founders working with different legal forms and funding models, the research was designed to gain an in-depth understanding of how different legal structures and ownership models affect access to finance, strategic direction and organisational practice in the West Midlands.

Selection of the interview partners was based on the suggestion of the project client, the Ownership Hub of the West Midlands Combined Authority. The suggested contacts reflected a diverse selection of actors within the creative industries in terms of content and structure and offered access to different perspectives on ownership models and financing.

The interviews took place between mid-May and mid-June 2025. All interviews were conducted online via Microsoft Teams and lasted 45 to 60 minutes on average. With the consent of the interviewees, the interviews were recorded, fully transcribed and then systematically analysed. The interview guide contained open questions about the company structure as well as specific questions about financing and strategic orientation. A standardised interview guide was used for all interviews.



The analysis of the interviews was carried out in two steps. Initially, each interview was examined individually and coded. This process involved categorising key statements into specific themes, such as the organisation's legal structure or funding experiences. In the next step, we analysed the codes across all interviews, focusing on identifying recurring themes, contrasts in responses, and the relationships between individual statements.

Questions of the interview

The basis was drawn from six key themes that were developed from the project focus. The questions were phrased in such a way that they capture both personal experiences and structural contexts.

1. ORGANISATIONAL STRUCTURE AND LEGAL FORM

Questions regarding the selected legal form, rationale behind this choice, the influence of external advice, and exploration of alternative models such as cooperatives. Example questions include: "What is the legal status of your organisation?", "Why did you choose this particular entity?", "Did you receive any support or advice when choosing your legal form?"

2. FUNDING SOURCES

Questions concerning start-up capital, ongoing funding strategies, and the roles of public versus private funders. Example questions include: "Where did you secure the funds to start the business?", "What are some of the other factors driving funding opportunities?"

3. EXPERIENCES WITH FUNDING

Questions relating to access to funding, perceived obstacles, how legal form affects fundability, and suggestions to enhance the funding landscape. Example questions include: "How has your experience been trying to secure funding?", "In what ways could the funding experience be made easier and accessible?", "Do you feel certain legal entities are perceived as more fundable than others?"

4. IMPACT ON ORGANISATIONAL PRACTICE

Questions that investigate the practical effects of the legal form on daily operations, decision-making, and stakeholder perceptions. Example questions include: "Did the choice of legal entity make a difference in the way of day-to-day functioning?", "How apparent is your legal entity to customers, suppliers and other stakeholders?"

5. VALUES AND STRATEGIC ORIENTATION

Questions exploring the connection between the legal form and the organisation's mission, including potential conflicts between creative objectives and structural necessities. Example questions include: "Have you ever considered being a co-op? If not, why not?", "Do you think funders understand the needs of your specific sub sector?"

6. FUTURE PLANS AND CHALLENGES

Questions focusing on future growth, upcoming legal or structural changes, and challenges related to sustainability and expansion. Example questions include: "In what ways has funding helped the growth trajectory of the business in its different phases?", "Have changes in legal form accompanied key stages of growth?"



Glossary of terms

Legal forms can sometimes be confusing and complicated to understand. In what ways is a private limited company different from a community interest company? What are the funding implications for a charity and how they different for a co-operative? How could funding be made more accessible to different organisations with alternative legal forms? In order to explore these questions and achieve our research objectives, it appeared important to understand the various legal forms and their key characteristics. The table below presents a glossary of terms for simpler understanding of the legal forms part of this study.

LEGAL FORM

PRIVATE COMPANY LIMITED BY GUARANTEE WITHOUT SHARE CAPITAL

CHARITY

DEFINITION AND CHARACTERISTICS

In the United Kingdom, companies limited by guarantee have guarantors and a 'guaranteed amount' instead of shareholders and shares. It is a type of company structure primarily used by used primarily by non-profit organisations, charities, and other social groups. Guarantors are company members who control the company and make important decisions and do not usually take profit from the company - instead the money is kept within the company or used for other purposes. The main reason for to be a company limited by guarantee is to protect the people running the company from personal liability for the company's debts. Guarantors who agree to a fixed amount of contribution if the company becomes insolvent. This fixed amount is their only liability to the company. A private company limited by guarantee is registered at Companies House. (Gov.UK, n.d.; Community Companies, n.d.)

In the United Kingdom, a charity is defined as an organisation that have exclusively charitable purposes and must be for the benefit of the public. Under the Charities Act 2011, some of the purposes include relief of poverty, advancement of education, arts, culture, heritage or science, human rights, environmental protection and animal welfare among others. (More information [here](#)) Every charity must create a governing document, which explains the charity's purpose, who runs it, appointment of trustees, expenses and payments and more. (Gov.UK, n.d.) All charities by law, have an asset lock, which ensures that assets and profits are not distributed among members but are used for charitable purposes only.



LEGAL FORM

CHARITABLE INCORPORATED ORGANISATION (CIO)

CHARITABLE COMPANY

CO-OPERATIVE

DEFINITION AND CHARACTERISTICS

A charitable incorporated organisation is an alternative legal form for charities. It is a corporate body, not registered under the Companies House and is therefore not subject to company regulations. They are registered with the Charity Commission and must fulfil certain criteria outlined by the UK Government. The government also stipulates the criteria for charity status, constitution of trustees, powers and governing documents specific to a CIO. Here, the trustees have limited or no liability for CIO debts. CIOs are also subject to asset locks, meaning that their assets are legally restricted for charitable purposes.

A charitable company is similar to a private company limited by guarantee, a charitable company is limited by guarantees rather than shares when registered. Here, the guarantors or trustees have limited or no liabilities for a charitable company's debts. It is registered with the Companies House and the Charity Commission and must comply with both company and charity law. They are an incorporated body, can own property and take part in commercial activities with third parties. Charitable companies are also subject to asset lock provisions. (Gov.UK, n.d.; Community Companies, n.d.)

According to Co-operatives UK, a co-op is a business or an organisation that is democratically owned and controlled by its members to meet shared needs and goals. Members may be employees, customers, local communities, and so on. A co-op is characterised by voluntary and open membership, democratic control, autonomy and independence, concern for community and more. They are registered with the Financial Conduct Authority on the Mutual Public Register under the Co-operative and Community Benefit Societies Act, 2014. Co-operatives can, however, also choose to incorporate as a company with the Companies House subject to certain regulations and criteria. Co-operatives are not required to have asset locks, however, most adopt a voluntary asset lock within the governance rules. (Co-operatives UK, n.d.; Gov.UK, n.d.)



LEGAL FORM

COMMUNITY INTEREST COMPANY (CIC)

COMMUNITY BENEFIT SOCIETY

Background



Methodology



Analysis



Findings



DEFINITION AND CHARACTERISTICS

Community Interest Companies are limited companies, which operate to provide benefit to the community they serve. They are driven by community benefit as opposed to profit motives. It possesses the same characteristics as a limited company, however, its separate legal form means that such a company will continue to exist despite and regardless of changes in ownership. A CIC must satisfy the Community Interest Test throughout its life that it will operate for community benefit. It will not satisfy the test if it is found that activities are carried for certain members within the organisation itself. All CICs must also have a compulsory asset lock that guarantees that company assets, including profits will be used for the benefit of the community. Additionally, CICs are obligated to prepare an annual report to satisfy the community interest test. (Gov.UK, n.d.)

Slightly different to a co-op, a community benefit society is required to carry on a business, industry or trade that is conducted for the benefit of the community. There can be no alternative or secondary purposes or benefits to the members of such a society. Community benefit societies have members who hold shares are entitled to a vote in the organisation. However, all profit made by such a society must be used for the benefit of the society and not distributed among its members. Like CICs, and other charities, Community Benefit Societies must have an asset lock, which prevents profits or assets from being distributed among members. A community benefit society is registered with the Financial Conduct Authority under the Co-operatives and Community Benefit Societies Act, 2014.





FINDINGS – ORGANISATIONS

This section explores the legal structures and governance models adopted by participating organisations, examining how these choices impact access to funding, operational autonomy, and long-term resilience. It also highlights the varying levels of external support and the strategic considerations shaping their future directions in a rapidly evolving policy and funding environment.



Organisational Structure and Legal Form

Legal form plays a foundational role in shaping the operational strategy, governance structure, and financial resilience of creative organisations. Among the ten West Midlands-based organisations analysed, decisions regarding legal status were not primarily driven by ideology but by pragmatism, with funding eligibility emerging as the dominant factor. This section draws on interview-based open coding and thematic analysis to explore how these organisations navigate the tension between structural pragmatism and mission alignment.

Divergent Legal Strategies Among Creative Organisations

Significant, strategic divergence characterises organisational approaches to legal structuring. Funding-access driven transitions emerged as a dominant pattern, exemplified by Grand Union's deliberate shift from a company limited by guarantee to a Charitable Incorporated Organisation. As articulated by their leadership, this structural realignment directly addressed funding barriers: "becoming a charity was the only way to access those pots of money", specifically referencing Arts Council provisions and philanthropic trusts inaccessible under their original legal configuration. Parallel motivations underpinned The People's Orchestra's abandonment of its Community Interest Company status after encountering systemic exclusion from grant programmes. Their transition narrative explicitly references funder resistance to non-charitable entities: "funders wouldn't fund CICs... funded charities," highlighting the structural disadvantages inherent in alternative legal forms.

Conversely, some organisations demonstrate strategic retention of hybrid models despite funding limitations. UrbanHax maintains its Community Interest Company status precisely to preserve commercial credibility while acknowledging the consequent restriction on certain funding streams. Their current exploration of potential conversion to Charitable Incorporated Organisation status – explicitly "considering... becoming a CIO" – represents an adaptive response to expand resource access without wholly abandoning their commercial orientation. Riverside House presents a distinct hybrid approach, having deliberately selected the CIC framework to leverage mixed revenue streams. Their founder's justification – "we have a mixture of grant income and revenue" – positions this legal form as central to their sustainability strategy, enabling simultaneous pursuit of public grants and commercial contracts.

A third strategic orientation prioritises governance autonomy even at financial cost. Friction Arts historically resisted charitable registration specifically to avoid external oversight, with leadership expressing concern that "if you have a charity running you, then you have a board telling you what to do." This commitment to operational independence persisted for over fifteen years before financial exclusion pressures prompted their current pursuit of charity status. Developer Society represents the most radical departure from conventional structures, implementing a cooperative governance model where, as stated in their constitution, "anyone can sack me at any board meeting." This mission-driven configuration consciously accepts perceived funding disadvantages to preserve member sovereignty and participatory decision-making.



Converging Pressures and Structural Trade-offs

Cross-organisational commonalities reveal a sector-wide primacy of financial considerations. All ten organisations demonstrated prioritisation of funding access over governance preferences, with seven entities – specifically Grand Union, UrbanHax, Godiva Awakes Trust, The People's Orchestra, Friction Arts, Old Print Works, and Motionhouse – explicitly linking structural changes or contemplated transitions to resource acquisition objectives. The consistent emergence of this pattern across diverse creative sub-sectors suggests structural pragmatism constitutes a survival imperative rather than discretionary strategy.

Notably, this financial imperative frequently necessitates significant governance concessions. Entities like Grand Union and The People's Orchestra explicitly accepted increased trustee oversight as a necessary condition for grant eligibility, fundamentally altering their internal power dynamics. As Grand Union acknowledged, their transition to CIO status shifted control from founders to a board of trustees, fundamentally reconfiguring decision-making processes.

Strategic divergences emerge most prominently in organisational risk tolerance and governance philosophy. Friction Arts sustained its non-charitable status for more than fifteen years despite financial disadvantages, demonstrating exceptional commitment to operational autonomy before conceding to funding exclusion pressures.

The governance spectrum ranges from Developer Society's radical participatory model, where constitutional provisions ensure member sovereignty, to Riverside House's commercially oriented CIC structure that deliberately avoids external oversight. These variations indicate significant sectoral experimentation with autonomy-preserving formats despite funding environment constraints.

Typology of Legal Form Motivations

Variations in legal structuring derive from three empirically verifiable dimensions observable across the interview dataset. Funding accessibility pressure constitutes the primary differentiator, creating a continuum from high-pressure scenarios mandating structural change– exemplified by Grand Union and The People's Orchestra– through moderate-pressure contexts prompting transition exploration– as seen in UrbanHax and Friction Arts– to low-pressure environments enabling alternative structure maintenance, represented by Developer Society's cooperative model.

A parallel governance concession gradient reveals how organisations trade operational autonomy for resource access. Entities accepting significant concession typically adopt trustee-dominated charity models, as demonstrated by Grand Union's experience. Those making limited concession retain director control through CIC structures like UrbanHax, while minimal-concession entities preserve member sovereignty through cooperative models such as Developer Society.



Advisory resource disparity further explains structural decision quality. Organisations securing professional support– including UrbanHax's commission of governance specialists Locality and Grand Union's engagement of charity law solicitors– demonstrated more strategic transitions. Conversely, advisory deficits characterised organisations like Godiva Awakes Trust, whose "standard procedure" adoption of charity status occurred without specialist consultation, and Soul City Arts, where retrospective confusion over legal status revealed foundational knowledge gaps.

Strategic Insights for Policy and Support Infrastructure

These findings suggest three evidence-based interventions for the Ownership Hub. First, establishing accessible legal advisory infrastructure would directly address the reactive decision-making observed in most of cases, including Friction Arts' delayed transition and Godiva Awakes Trust's procedural adoption of charity status. Such services should provide proactive structural evaluation rather than crisis response.

Second, developing coöperative funding pathways would address systemic exclusion of democratically structured organisations. Current grant frameworks disadvantage participatory models like Developer Society's, despite their alignment with community-ownership principles. Creating dedicated funding instruments compatible with cooperative governance would enhance financial viability without compromising constitutional integrity.

Third, compiling documented case studies of hybrid legal navigation would provide empirical guidance for mission-resource alignment. Detailed documentation of UrbanHax's ongoing CIC-CIO evaluation process would offer actionable insights for organisations contemplating structural adaptation while preserving core identity.



Funding Sources

The funding landscape for creative organisations in the West Midlands is shaped by three overarching challenges: real-term reductions in investment, administrative complexity, and regional funding disparities. Drawing on coded interview data from ten organisations, this section examines how initial and ongoing financial arrangements affect organisational sustainability.

Funding Dependencies and Adaptive Practices

Sector-wide challenges reveal austerity's enduring impact on cultural resourcing. Arts Council England functions as a primary but increasingly inadequate funding source, with Grand Union experiencing "standstill funding for years, effectively a cut" that fails to accommodate inflationary cost increases. Godiva Awakes Trust's financial position exemplifies systemic precarity, trapped by a fixed £300k annual grant while submitting thirty-five unsuccessful applications for supplementary support. This funding environment creates pervasive instability, particularly for organisations reliant on short-term project financing. Soul City Arts operates "literally from project to project," a cycle that consistently leaves "no money left" following project delivery, undermining capacity for strategic development.

Adaptive strategies demonstrate organisational attempts to circumvent structural constraints. Revenue diversification emerges as a critical resilience mechanism, with UrbanHax deliberately balancing "grant income and commercial revenue" to mitigate single-source dependency.

The People's Orchestra represents a strategic shift toward "earned income for sustainability," consciously reducing reliance on volatile grant streams. However, structural barriers persist irrespective of strategy, evidenced when Old Print Works encountered categorical exclusion from heritage funding programmes that prioritised Grade I buildings over their Grade II site: "heritage funding is very geared towards Grade I... we're only Grade II." Historical context further illuminates current constraints; Motionhouse notes "far more funding sources in the 1990s" compared to the contemporary landscape, contextualising why new creative initiatives now face "extremely difficult" establishment conditions.

Systemic Barriers and Organisational Divergence

Universal pain points emerge across the funding ecosystem. Bureaucratic inefficiency constitutes a universal complaint, with Godiva Awakes Trust reporting 5% application success rates amidst proliferating "AI-generated proposal inflation" that crowds traditional funding channels. Riverside House advocates fundamental process reform, specifically proposing "Dragons' Den-style meetings" to replace exclusionary "box-ticking" application requirements.

Legal status discrimination further stratifies funding access, creating structural advantages for charitable entities. The People's Orchestra secured major grants only after CIO registration, while Friction Arts documented exclusion from "significant money" due to non-charitable status. This pattern confirms sector-wide correlation between legal configuration and resource acquisition capacity.



Regional disparities compound these challenges through both quantitative and qualitative mechanisms. Qualitative eligibility biases further disadvantage regional organisations, particularly when funding mechanisms systematically privilege heritage assets of specific architectural grades, as experienced by Old Print Works.

Dimensions of Funding Inequity and Innovation

Funding resilience stratifies along three empirically observable axes. Structural accessibility creates a hierarchy wherein CIOs/CICs with heritage assets (e.g., Motionhouse) demonstrate high funding access, while non-charities (e.g., Soul City Arts, pre-transition Friction Arts) face significant limitations irrespective of artistic merit.

Revenue model innovation differentiates organisations by income diversification strategy. UrbanHax exemplifies hybrid resourcing through simultaneous pursuit of grants and commerce, while The People's Orchestra represents strategic transition toward earned income streams. Conversely, monodependent entities like Godiva Awakes Trust remain vulnerable through exclusive reliance on Arts Council funding despite its demonstrable insufficiency.

Geographic positioning constitutes a third determinant, with all sampled West Midlands-based organisations operating at systemic disadvantage compared to East Midlands counterparts. Grand Union's documentation of a £3 per capita funding deficit quantifies this regional imbalance, creating structural headwinds for local cultural production.

Recommendations for Funding Reform and Sector Resilience

Four targeted actions emerge from these findings. Championing multi-year unrestricted core funding would directly counter de facto austerity cuts documented by Grand Union and Godiva Awakes Trust, providing stability currently undermined by project-based fragmentation. Developing standardised application frameworks would reduce bureaucratic burdens universally cited as exclusionary, potentially adopting Riverside House's proposal for interactive assessment models.

Establishing a regional equalisation fund specifically addressing the £3 per capita deficit quantified by Grand Union would begin countering geographic inequity. Finally, facilitating peer-learning platforms between diversification leaders like UrbanHax and The People's Orchestra with grant-dependent entities could accelerate resilience-building knowledge transfer.



Experiences with Funding

Funding is one of the most critical and challenging tasks for creative organisations, particularly in a culturally diverse region such as the West Midlands, where uncertainty and competition for funding sources are increasing, making this task even more complicated. Due to the variety of legal forms of organisations, from registered charities, community interest companies (CICs) to informal arts and creative groups, their experiences with funding routes, types of grants available, and regulatory requirements for the use of funds vary.

Based on the interview data, this section explores how legal structure, funder preferences, organisational readiness, and industry norms jointly influence the financing experience of creative organisations. It also deeply analyzes the difficulties and advantages faced by enterprises in financing, and provides inspiration for Ownership Hub and other support organisations.

Legal Structures and the Drivers of Transition: Strategic Choices in the Creative Sector

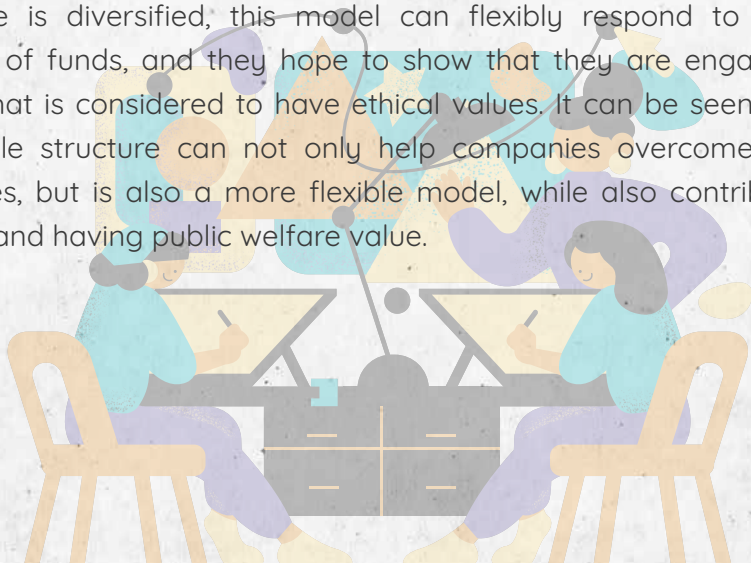
In the interviews, all the creative organisations interviewed mentioned that their legal structure had a huge impact on obtaining funding, especially when the corporate legal structure was changed to a charitable organisation (CIO), they were more likely to gain the trust of funders and obtain financial support. As The People's Orchestra noted, "CIO status made us more fundable than a CIC. Funders preferred charities."

Motion House also mentioned, "Being a charity creates far more options for applying for money," Grand Union mentioned in the interview that Legal change opened more funding opportunities; trusts prefer working with charities. The Old Print Work also said, "We probably wouldn't have had access to if we were only a company limited by guarantee . Similarly, Soul Arts City also mentioned in the interview, "You can't get sustained funding for things, as you say, when it's a private limited In the West Midlands, many creative agencies have limited resources and rely heavily on external funding, so having CIO status can open up otherwise inaccessible funding channels. CIO structures often represent stronger regulatory regimes, clearer governance frameworks and a high commitment to public accountability. These characteristics not only enhance funders' confidence, but also better meet their expectations of professionalism and legitimacy. For funders, the governance model of charities (especially those with trustees) represents a familiar and low-risk type of organisation. Therefore, the legal structure is not just an administrative distinction, but also an important symbol of the credibility of the organisation.

It is worth noting that many organisations choose to become charitable organisations not out of ideological preference, but out of the practical need to obtain funds. For example, Grand Union mentioned in an interview that becoming a charity was the only way to access those pots of money. Urban Hax also mentioned that "There are certain grant regimes who only provide funding to charities." The People's Orchestra talked about the difficulties at the beginning of its establishment: Initially very hard , we lacked fundraising knowledge and support. "



It was not until they became a charitable organisation that they obtained reliable financial support. The founder of Motion House also admitted that "That's why we're a charity. Because otherwise we would be really limited. We wouldn't be able to apply to lots of trust and foundations, so the idea of being a charity and it's what I advise. Anyone who's setting up now is be a charity because. It creates far more options for applying for money or receiving donations." It can be seen that many organisations have transformed their legal identities for strategic considerations after repeatedly encountering funding obstacles and being regarded as "ineligible" by the existing legal structure. In other words, it is the funding environment itself that influences the evolution of organisational structure. At the same time, Riverside House also mentioned in the interview that they chose CIC because their funding structure is diversified, this model can flexibly respond to different sources of funds, and they hope to show that they are engaged in a cause that is considered to have ethical values. It can be seen that the charitable structure can not only help companies overcome funding obstacles, but is also a more flexible model, while also contributing to society and having public welfare value.



Rising Competition and Structural Misalignment: Emerging Challenges in the Funding Process

However, even with a legal structure that is considered to be more advantageous, several institutions in the West Midlands still reflect that it is becoming increasingly difficult to obtain funding. As the funding environment becomes increasingly competitive, the number of applicants has increased sharply, and limited resources have further increased the pressure on creative institutions. When talking about their experience in applying for funding, Godiva Awakes Trust mentioned that "We are getting reports of success rates of maybe 5%... applications are much higher because people are now using AI to write them." At the same time. The founder of Motion House also mentioned many times in the interview that the competition is becoming increasingly fierce and it is becoming increasingly difficult to obtain funds. Faced with increasingly fierce competition, when applying for funding, they must not only demonstrate their social value and project impact, but also have to deal with increasingly complicated administrative processes and constantly adjust their expressions to cater to the changing preferences of funders. For example, Grand Union said in an interview that the relationship with Arts Council has become paternalistic, more parent-child than partner. Organisations must often 'translate' needs to match funder expectations. This also reflects that there may be an unequal relationship between creative organisations and funding agencies. In order to obtain funding, organisations have to translate their actual needs and project language into the expression that funders like.



This is not real communication, but a strategic "catering" that reflects a certain value misalignment between the funding system and grassroots creation. To some extent, this will weaken the autonomy of creative organisations and affect the real innovation intention. For example, the founder of Riverside House mentioned that in the funding application process, "It would be good if funders had a more unified approach- too much box-ticking, ambiguous questions." This also reflects the lack of uniformity in the funding process. When faced with different processes of different funding agencies, the administrative burden of creative organisations increases, and the funding application process is more and more like completing a set of preset actions: Box - ticking, which weakens the funding agency's attention to the real value of the company's results. Moreover, vague and lacking direction in the questions make applicants unsure of how to answer them accurately, which amplifies information asymmetry and increases the uncertainty of the application process.

Summary and Implications

It can be seen that the challenges faced by creative organisations in the process of obtaining funds are far more than the quality or influence of the project itself, but are deeply rooted in the structural preferences of the entire funding system, the symbolic significance of legal identity, and the uncertainty and information asymmetry in institutional design. The legal form not only affects the channels for obtaining funds, but also invisibly determines the degree to which the organisation is "visible" in the entire funding ecosystem.

In the context of increasingly fierce competition and relatively limited resources, those flexible, grassroots, and non-traditional organisations are often marginalized, which not only compresses the diversity space of the industry, but may also weaken its innovation capabilities.

Therefore, for Ownership Hub and similar support organisations, the key task in the future is not only to help creative enterprises choose the appropriate legal structure, but also to actively participate in the reshaping of funding rules, value judgment standards and even system fairness , and to build a funding ecosystem that is compatible with diversity, encourages creativity, and gives equal opportunities to every organisation.



Impact on Organisational Practice

In the creative industries, the legal form of an organisation not only affects its access to funding, but also has a profound impact on its internal operations. As their business grows, many creative organisations formalise their legal status by setting up a charity, CIO, CIC or community benefit organisation. While this shift improves the organisation's credentials and fundraising capabilities, it also has a profound impact on the way it operates on a day-to-day basis.

Operational Consequences of Legal Formalisation

Overall, registering as a charity or CIO will bring higher administrative burdens and accountability obligations, while non-charitable organisations are relatively relaxed in terms of institutionalisation. Most of the organisations interviewed pointed out that the primary impact of the change in legal structure is the increase in administrative and governance burdens. For example, The People's Orchestra pointed out: "We're accountable. We are taxable... we have to return audited accounts." This statement clearly reveals that as a charitable entity, they need to face compliance obligations such as annual audits and tax reports, which greatly increases the administrative workload in operations. Grand Union also made a similar point, pointing out that "Paperwork burden creates exclusion; trust-based evaluation would improve access." This "exclusion" not only means that the complicated process is unfriendly to small organisations, but also shows that in the path of institutionalization, the administrative burden has become a threshold that some organisations find difficult to cross.

However, although most of the organisations interviewed generally acknowledged that the legal form brought about an increase in administrative burden and transparency requirements, there were some differences in the specific manifestations of this impact in practice in different organisational contexts. In contrast, Motion House stated: "It doesn't affect day-to-day functioning... trustees are legally responsible." This shows that for organisations with a good governance system, the change in legal identity has less impact on their actual operations. As for Friction Art, it is mentioned that the impact is mainly reflected in the reporting level: "No, only in terms of reporting... it's more admin." This shows that although the legal structure does not directly change its operation, compliance requirements still bring additional administrative burdens.

It can be seen that the more formal the legal identity, the more embedded it is in the daily operations of the "paperwork, reporting, accountability" and other mechanisms. This structural pressure is particularly significant for small organisations that have not yet established standardized administrative processes.

From Founder-Led to Institution-Led: Governance Shifts under Legal Reform

At the governance structure level, changes in legal form often mean a redistribution of control rights. Whether an organisation is willing or able to adapt to this decentralised governance directly affects its organisational culture and operational efficiency.



Godiva Awakes Trust pointed out: "Board of trustees now have the control... working groups involve more people." This shows that after its transformation into a charitable structure, the governance of creative organisations has become more standardised, and the decision-making power that was originally concentrated in the founders or core teams has been gradually delegated to the trustee level clearly defined by the charter. This gradual reconstruction of power helps to enhance the legitimacy and external credibility of the organisation, especially when striving for long-term funding, it can reflect a clear chain of responsibility and institutional checks and balances. Old Print Works emphasises the high degree of openness of its governance structure: "Anyone can sack me at any board meeting... have to put your hand up and vote." This mechanism reflects the organisation's high attention to "democratic participation" and the pursuit of a truly equal collective power structure. From the perspective of institutional culture, this governance method highlights the transparency and inclusiveness of the organisation and encourages members to actively participate in decision-making.

However, these two governance models also correspond to different stages of organisational evolution and potential challenges. The approach of Godiva Awakes Trust reflects a gradual institutionalisation process, which is suitable for organisations that need to establish governance stability and face external accountability; while the mechanism of Old Print Works represents a culture-driven democratic experiment with high flexibility, but it may also lead to unclear strategic direction or unstable leadership due to excessive decentralisation of power.

Furthermore, the reconfiguration of power is not only a response to legal requirements, but also has a deeper impact on the identity and rights and responsibilities within the organisation. When the original founder or artistic director must give up some control, his or her personal role, authority, and organisational culture must also be adjusted accordingly. For creative organisations, this adjustment is particularly sensitive because the founder often plays the dual role of artistic soul and resource coordinator. Therefore, the reshaping of the governance structure by legal form is not only a change in form, but also a deep "organisational redefinition." It prompts organisations to shift from "founder-oriented" to "institution-oriented", thereby improving the sustainability of governance, but at the same time they must also face the reality of governance education, member trust, and institutional execution.

Symbolic Visibility and Misrecognition in Legal Identity

At the same time, the external identity of an organisation is also significantly affected by its legal structure. Charities often use their legal identity to build a "non-commercial" public image. Godiva Awakes Trust mentioned: "We talk about being a charity... to show we are not commercial." This reflects the role of legal form in strategic brand building, making it easier for organisations to gain the trust of the public and funders. In the current competitive funding environment, a clear legal identity is not only a sign of legitimacy, but also a key tool for organisations to convey their social mission and value propositions.



However, some non-charitable organisations face problems of unclear visibility or identity. Soul City Arts believes that "I don't think legal form is the thing they take into account." This shows that the legal identity of an organisation may not really affect its visibility in the community, and it also reflects that the value and influence of the x project itself are also important factors affecting the evaluation criteria when financing. In addition, Riverside House said: "People regard us as charity before CIOs were invented." This shows that the public's understanding of the legal structure is still lagging and ambiguous, and some non-charitable organisations may be "mistaken" as charitable entities, which brings risks in resource acquisition or public opinion. On the one hand, this misaligned perception may bring reputational benefits in the short term, but in the long term it may lead to compliance misunderstandings or audit obstacles for funders, especially in aspects involving the use of funds and asset locking mechanisms, which may expose governance loopholes.

Reluctance Toward the Co-operative Legal Form

Although the co-op model advocates democratic participation and collective ownership in principle, and these concepts seem to fit in with the sharing culture of the creative industry, according to the interview results, most of the organisations interviewed clearly stated that they would not choose this structure. Their concerns mainly focus on decision-making efficiency, funding restrictions, organisational complexity, and doubts about the feasibility of co-ops.

Several organisations directly rejected co-ops because the governance structure did not match their own style. Friction Art clearly stated: "We are a 'benevolent despot', so we will not choose co-ops... because this is a project led by us." This statement reflects the founders' desire to retain decision-making power and avoid falling into the co-op-style decentralisation. Similarly, The People's Orchestra emphasised that they rejected committee governance: "The reason why our orchestra can do so many things is because it is not led by the committee." These views all reveal a common view: although collective decision-making is democratic, it may affect organisational efficiency and execution.

More importantly, the cooperative form is generally regarded as not conducive to fundraising. Motionhouse clearly pointed out: "Co-op is not good for us... We rely heavily on grants, and many grants do not accept applications from non-charitable structures." Godiva Awakes Trust also said: "If we were a company structure now, we would not be able to raise funds like we do now." This shows that the legal form directly affects whether an organisation can enter the mainstream charitable funding channels, and cooperatives are obviously at a disadvantage.

Organisational structure complexity is also a major limitation. Grand Union said: "It is not realistic to adopt a Co-op now... We have art studios, gallery projects, community programs, cafes, offices... The organisation is too complicated." This shows that as the organisation develops, multi-segment businesses may not be suitable for the "equal governance" model required by cooperatives. Although they may consider this



structure in the future, it is too transitional and too complex at the current stage.

In addition, some respondents also expressed insufficient institutional confidence and cultural reservations in the Co-op model. Old Print Works said: "I believe there are also well-functioning Co-ops, but I have indeed heard of many that are not working well." This reflects the industry's lack of confidence in successful examples of cooperatives or concerns about their unstable internal governance. Riverside House prefers a linear decision-making structure: "Once you get into committee governance, there will be problems... A lot of people's ideas are not mature, and if they are not adopted, it will cause dissatisfaction."

Finally, Soul City Arts raised some practical obstacles: "No one can become a formal employee until we get the three-year grant... Everyone can only be a freelancer... And if you want to get funding from the Arts Council, you have to show that you have a governance committee." This shows that co-op-like structures that lack stable employment relationships and clear governance structures are easily regarded as non-compliant or unstable by funders.

Although the cooperative model is highly consistent with the collaborative nature of the creative industry in theory, in reality, it is regarded by many organizations as inefficient, limited in funding, and rigid in structure. The current funding system in the UK also highly favors charities and CIO structures, which further marginalizes co-ops. Unless there is a broader institutional reform to support cooperative governance, it will be difficult for it to become a mainstream choice in the creative industry.

Summary and Implications

The above analysis shows that the legal structure is not a neutral organisational identity. It profoundly shapes the operating logic, external cognition and resource acquisition capabilities of creative organisations. For Ownership Hub, this means that its responsibilities go far beyond providing legal advice or template documents, and should be more deeply involved in organisational development, system reform and reconstruction of industry structure visibility.

During the interviews, we found that the real dilemma facing many organisations is not "which legal structure to choose", but what comes after that: how to adapt to the new governance model, how to assume the accountability mechanism under the system, and how to redefine the power relationship within the organisation after the structure is formalized. For example, some organisations mentioned that they were confused about the annual report system, unclear about who has the decision-making power, and the pressure of excessive administrative workload. These problems are not purely legal problems, but real challenges under the interweaving of multiple factors such as organisational capacity, institutional culture and cognitive confidence. Therefore, the "final word" of legal consultation is far from enough. Creative organisations need longer-term and accompanying support to survive the process of structural transformation that profoundly affects practice.



In addition, the legal identity of an organisation also carries a certain symbolic meaning, which affects the "visibility" of the organisation in the funding ecosystem. As Godiva Awakes Trust and Soul City Arts said in the interview, charitable organisations often use their legal identity to convey non-commercial social values, thereby gaining the trust of the public and funders. In contrast, many non-charitable organisations are often difficult to be seen and recognized even if they have significant community influence. This asymmetry is not only about reputation, but also directly determines who can get funding, when to get it, and the nature and scope of funding.

In a system where funders use legal identity as a screening mechanism, those organisations that "do not meet the expected form" are structurally "de-visible". This means that the role of the Ownership Hub cannot be limited to "individual consulting services", but should have the ability to intervene in the system- including promoting more inclusive funding evaluation standards, collaborating with funders, recognising diverse legal forms; and building a trust-based evaluation mechanism and governance model toolkit shared by the industry. Its goal should not be to "unify templates" for all organisations, but to ensure that no matter which path they choose, they can get support, be seen, and thrive in the institutional ecosystem.

Ultimately, the value of Ownership Hub does not lie in "which structure to recommend", but in transforming the current institutional logic of "structure determines rights". This means shifting from a "providing consultation" model to a support system for "empowering structural

practice" - an industry mechanism that recognises diversity as strength, encourages institutional innovation, and jointly promotes fairness at the legal and practical levels.



Values and Strategic Orientation

As funding systems increasingly reward measurable social outcomes and standardised governance models, some organisations face pressure to compromise creative autonomy in favour of administrative alignment. This section explores how legal identity interacts with organisational values, and how creative leaders balance artistic integrity with strategic survival.

Legal Form as a Strategic Expression of Organisational Values

In the West Midlands creative sector, legal form is not simply a technical designation—it serves as a symbolic and strategic expression of an organisation’s underlying values. For many of the organisations interviewed, particularly those with a strong community orientation, legal identity is used to publicly signal non-commercial intentions, ethical commitments, and a mission-driven ethos. The People’s Orchestra, for example, uses its CIO status to reinforce its focus on community impact, returning over £150,000 annually to vulnerable adults in Sandwell. Similarly, UrbanHax embeds its commitment to public benefit directly within the CIC framework, framing commercial activity as a means to advance community goals. Friction Arts goes further still, explicitly aligning its legal form with its vision of “a world where equality and creativity flourish,” positioning itself as a social value producer rather than a traditional business. In these cases, legal form functions as a marker of trustworthiness, moral clarity, and embeddedness within the local civic ecosystem.

Tensions Between Creative Autonomy and Institutional Expectations

While legal structures can serve as tools to express an organisation’s values, they can also impose constraints that challenge creative autonomy. Several organisations described the increasing need to tailor their projects and language to meet funder requirements, which often prioritise administrative standardisation and measurable social impact over experimental or community-driven creative work. Godiva Awakes Trust, for example, reported spending extensive time and energy on unsuccessful funding applications, noting that “application processes drain time and resources from creative leadership.” Friction Arts echoed this frustration, reflecting that “the system can crush innovation” and describing policies and procedures as “exhausting.” Even Grand Union observed that its relationship with funders like Arts Council had become “more parent-child than partner,” highlighting a shift in power where organisations feel compelled to reshape their narratives to fit external frameworks.

These tensions reveal a subtle but pervasive trade-off: in order to sustain themselves financially, organisations may have to compromise aspects of their creative identity. This dynamic is particularly pronounced when public funding is tied to social agendas or formal governance expectations that limit flexibility. As Riverside House’s rejection of AI-generated grant proposals illustrates, there is a growing concern that authentic, grassroots creativity is being crowded out by performative compliance.



Ultimately, organisations are forced to continuously negotiate the line between artistic intention and institutional legitimacy—raising critical questions about whose definitions of value, purpose, and impact are allowed to shape the future of the creative sector.

Strategic Alignment and Hybrid Structures: Balancing Mission with Pragmatism

Not all creative organisations view legal form as a binary between artistic freedom and structural compliance. Some actively pursue hybrid approaches that allow them to meet institutional expectations while maintaining a degree of flexibility aligned with their core mission. UrbanHax, for example, retains its CIC status to preserve commercial credibility and independence, even while exploring a potential shift to CIO to unlock additional funding. Their current position represents a strategic balancing act—leveraging a legal form that enables revenue generation while negotiating access to public support structures.

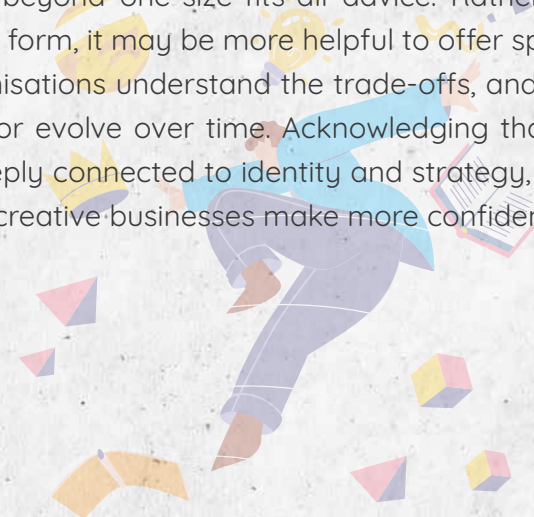
Old Print Works takes a similar stance, describing its dual identity as both a charity and a trading social enterprise. This hybrid model reflects a desire to reduce reliance on grant funding for core costs while still remaining mission-driven. Rather than viewing legal form as a static identity, these organisations treat it as a flexible tool—something to be adapted and re-evaluated as operational needs evolve. Riverside House, though not a charity, emphasizes that “people regard us as one,” signalling the use of public perception to their advantage, even when formal legal identity does not match it.

These adaptive strategies suggest that mission-structure alignment is not about idealism or purity, but about designing governance models that can sustain creative work under real-world constraints.

Summary and Strategic Implications

The findings in this section suggest that creative organisations relate to their legal form in different ways. Some use it as a way to express their values and build trust with funders and communities. Others feel that structural requirements and funding pressures can restrict their artistic freedom or force compromises. A number of organisations are also exploring hybrid models that allow them to balance public mission with operational flexibility.

For support programmes like the Ownership Hub, this highlights the need to move beyond one-size-fits-all advice. Rather than promoting any single legal form, it may be more helpful to offer space for reflection—helping organisations understand the trade-offs, and supporting them as they adapt or evolve over time. Acknowledging that structure is not neutral, but deeply connected to identity and strategy, could be a useful step in helping creative businesses make more confident decisions.



Future Plans and Challenges

As creative organisations in the West Midlands look toward the future, they face a landscape marked by tightening resources, shifting funder priorities, and increasing administrative complexity. Legal structure continues to play a significant role—not only in shaping current access to funding but in influencing what kinds of growth, partnerships, and adaptations are possible. Drawing on interview data, this section explores how organisations are planning for structural change, managing financial uncertainty, and questioning whether the existing funding ecosystem is fit for purpose.

Strategic Shifts and Structural Adaptation

Several organisations in the region are actively rethinking their legal or structural setup as part of their longer-term development strategy. For some, this is driven by the need to access new funding streams; for others, it reflects a deeper desire to align governance with values of participation, flexibility, or sustainability. Grand Union, for example, expressed interest in potentially shifting to a co-operative model after relocation and expansion, viewing it as a better fit for their commitment to transparency and equity. UrbanHax is exploring a dual-entity structure or CIO conversion, aiming to retain commercial viability while improving eligibility for larger grants. Similarly, Friction Arts is planning to attach a charity number to their existing company structure, hoping to preserve operational independence while opening up access to charitable funding.

These examples show that structural change is not always reactive—it can also be a proactive move to future-proof the organisation. At the same time, the decisions are rarely straightforward. As Old Print Works reflected, transitioning into a different legal form like a co-op “might have been harder,” highlighting the trade-offs between values, administrative complexity, and long-term resilience. Together, these cases suggest that legal form is increasingly seen as a flexible design element—something to be adapted as organisational needs and funding conditions evolve.

Financial Uncertainty and Resource Access Gaps

For many creative organisations in the West Midlands, the most pressing challenge is not structural reform, but financial survival. Several participants described a growing sense of instability—where funding sources have either dried up, become more conditional, or shifted their focus away from the arts entirely. The People’s Orchestra highlighted this clearly: “the funders that did fund before have changed their mind about what they want to fund.” Motion House offered a longer-term perspective, contrasting today’s limited opportunities with the broader funding landscape of the 1990s, and noting that “starting a new organisation in the current climate would be extremely difficult.”

Godiva Awakes Trust presented perhaps the most urgent case, describing a downward spiral where a lack of funding has directly limited their ability to deliver projects—making them less competitive for future grants, and thereby deepening the crisis. Even organisations with long track records and strong community ties, such as Soul City Arts, reflected that “you can’t get sustained funding for things...



when it's a private limited company," pointing to a structural mismatch between legal form and funder preferences. These experiences underscore a common reality: creative organisations are being asked to remain ambitious and innovative in a system that increasingly offers fewer stable resources and more hoops to jump through.

Rethinking the Funding System: Frustrations and Proposals

Amid tightening resources and growing administrative demands, several organisations are beginning to question whether the current funding system is still fit for purpose. Grand Union called for "less bureaucratic, more inclusive funding mechanisms based on mutual trust," highlighting how the burden of complex applications often outweighs the potential reward. Friction Arts offered a similar critique, suggesting that funders should "speak to each other" and standardise forms, while also proposing that creative organisations nominate funders who are doing things well—an idea that reimagines the power dynamic between funders and recipients as a two-way relationship.

UrbanHax is also exploring governance alternatives, including co-operative models that could provide both economic resilience and democratic accountability—particularly appealing in a context where traditional funding feels inaccessible or overly conditional. The People's Orchestra went even further, outlining a plan to move "fully off grant funding" within the next five years in order to build long-term sustainability without reliance on unpredictable funder agendas. These examples don't simply reflect frustration—they point toward a quiet but growing shift in mindset: from compliance to co-design, from short-term survival to structural reimagination.

Summary and Strategic Implications

Across the ten case studies, a shared pattern emerges: creative organisations are not only navigating operational and funding pressures but are also actively questioning the institutional logics that shape their possibilities. Structural or legal changes—such as shifting to a CIO or co-operative model—are often driven by necessity rather than preference, underscoring how legal identity is deeply entangled with funding access, governance structures, and public recognition.

However, legal adaptation alone cannot solve systemic issues. As organisations like Friction Arts and The People's Orchestra reveal, sustainability depends on more than just compliance—it requires a funding ecosystem that rewards long-term vision, supports diverse legal forms, and reduces unnecessary bureaucracy.

Going forward, initiatives like the Ownership Hub should position themselves not only as legal advisors but as strategic allies in sector-wide reform. This means advocating for inclusive funding criteria, supporting experimentation with new governance models (like dual entities or co-ops), and creating platforms where best practices—such as UrbanHax's hybrid model or Riverside House's community-led development—can be shared. In short, the sector does not just need legal guidance—it needs systemic accompaniment.





FINDINGS – FUNDERS

This research interviews two funders, the Barrow Cadbury Trust (Barrow) and the Esmée Fairbairn Foundation (Esmée). Among them, Barrow, as a Trust dedicated to promoting social justice, economic inequality, and climate change issues by investing in charitable organisations, provides common questions that investors consider when evaluating funding applications. In addition to focusing on the above-mentioned social issues, Esmée has a greater investment purpose of promoting the development of art by funding creative enterprises. Therefore, these two funders simultaneously offer both general and specific perspectives on funding.



Funding types

Esmée expresses that even if it is a charity, the recipient of funds is not necessarily a charity. Barrow mainly funds organisations dedicated to systemic change, most of which are committed to policy advocacy, academic research, and social justice. Although Barrow occasionally funds creative projects, the proportion is relatively small.

Legal and policy requirements and funding standards

For registered charities, Esmée can provide funds without a specified purpose, as the law ensures that the funds are used for charity. For unregistered charities, such as CICs, it is necessary to provide funds for designated purposes to ensure that they are used for charitable purposes. The issue of avoiding private gains is the focus of Esmée's designated funding standards. Barrow as a whole is open to organisational forms, but as the same as Esmée, if it is not a registered charity, it needs to specially review whether its funds are used for charitable purposes. For example, the problem of companies like CIC is that the establishment threshold is low. Therefore, some CICs established as sole traders will be rejected due to the imperfect governance structure.

Secondly, foundations usually require organisations to have at least three directors or trustees. In short, both funders emphasise that ensuring that the invested organisations use the investment funds for charitable purposes is the most important criterion.

In this study, the organisations interviewed, such as Urban Hax and Riverside House, are CIC. This means that unregistered charitable organisations, need to undergo more rigorous reviews when applying for funds as private companies, because their legal forms cannot have the same strong credibility in terms of charitable purposes as registered charitable organisations such as The People's Orchestra.

Funding preferences

Both Esmée and Barrow state that they have no specific funding preferences and that the legal form does not constitute a funding barrier. The main difference is that registered charities are easier to review, and foundations are more likely to assess their legality and operation mode. Organisational forms such as CIC and Co-op, or other hybrid entities, are all acceptable, and the policies are flexible. However, due to their more complex and diverse organisational structures, they often need to undergo more rigorous due diligence, especially by reviewing the organisational charter, assets, governance structure, etc. Some institutions with clear governance frameworks, such as CIOs, are more likely to pass the review. Therefore, registered charities have lower review and management costs for investment foundations. For Barrow, informal organisations without charters or legal person status usually have difficulty obtaining funding. Regarding investment in creative projects, the form requirements for creative organisations such as the Arts Council may be more lenient.



Overall, the legal form is not a restrictive condition for funders. They pay more attention to whether the applying organisation provides sufficient and clear information for review at the time of application. If creative organisations that have not been registered as charitable organisations can make adequate preparations before applying, it will improve the efficiency of funders' assessment.

Challenges Faced by Foundation Investment

Esmée says the main problem was that the number of applications for funding far exceeded the amount of funds, resulting in the need for strict screening of the applying organisations. The more complex the organisational structure is, the more time needs to be invested in the assessment. However, a complex structure will not be a reason for rejection.

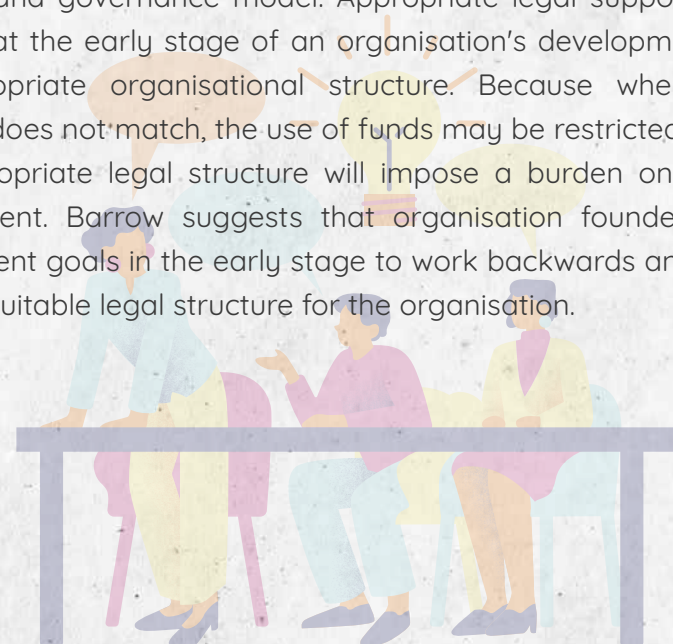
Experience in creative industry funding

The organisations that Barrow mainly invests in are not related to creative projects, so it has less relevant experience. Esmée has funded various creative projects. The foundation believes that the particularity of the art field where the creative projects are located needs to be valued. For instance, creative organisations are often informal partnerships rather than standard companies or institutions. The employee compensation structure is not transparent, and the ownership of intellectual property rights needs to be taken into consideration.

This means that investors are aware of the particularity of the creative organisational structure. Therefore, when applying for funding, creative organisations should attach importance to clarifying their organisational structure and presenting a clear management framework to avoid ambiguity caused by the informality of the structure.

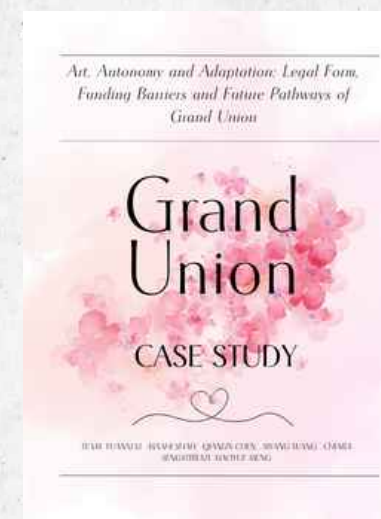
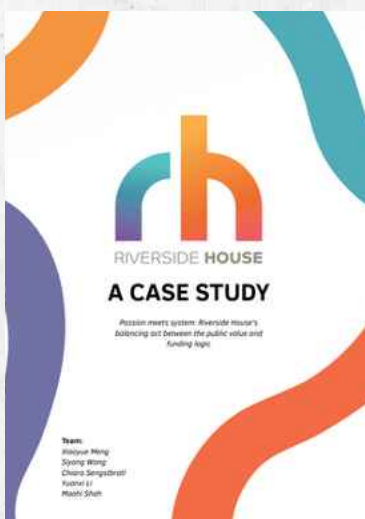
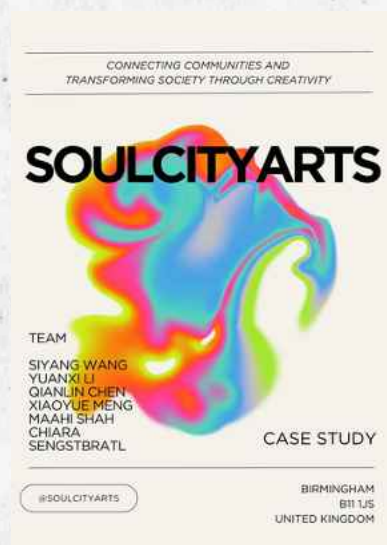
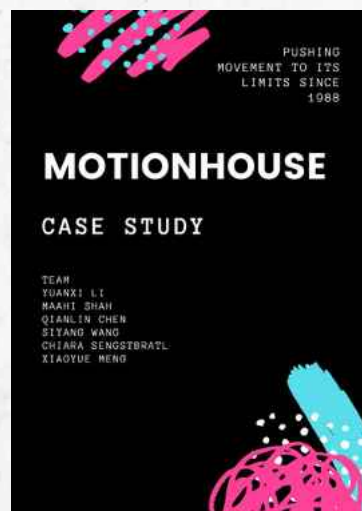
Preparations that creative organisations should make before applying

Both Barrow and Esmée believe that it is necessary for the applying organisation to have a clear organisational charter, a clear legal structure and governance model. Appropriate legal support should be obtained at the early stage of an organisation's development to select the appropriate organisational structure. Because when the legal structure does not match, the use of funds may be restricted. Meanwhile, an inappropriate legal structure will impose a burden on subsequent management. Barrow suggests that organisation founders set clear development goals in the early stage to work backwards and determine the most suitable legal structure for the organisation.



CASE STUDIES

Please click on the cover image to access the case studies.



APPENDIX A

Name of Organisation	Legal form
Developer Society	Community Benefit Society
Friction Arts	Private company limited by guarantee without share capital
Soul City Arts	Private company limited by guarantee without share capital
Urban Hax	Private company limited by guarantee without share capital
Gap Arts Project	Charity
The Old Print Works	Charitable company
Motionhouse	Charitable company
The People's Orchestra	Charity
Godiva Awakes Trust	Charitable company
Riverside House	Private company limited by guarantee without share capital

APPENDIX B

Questions for business owners

1. Can you tell us a little bit about the business and its inception?
2. Where did you secure the funds to start the business?
3. Did you receive any support or advice when choosing your legal form (e.g., legal, financial, peer support)?
4. How did you learn about the different legal entity options available to you?
5. How has your experience been trying to secure funding for the business?
6. Why did you choose this particular entity? What are the factors that drove this decision?
7. To those applicable: Have you ever considered being a co-op? If not, why not?
8. Did this make a difference in accessing funding opportunities?
9. Do you feel certain legal entities are perceived as more fundable than others?
10. Did the choice of legal entity make a difference in the way of day-to-day functioning?
11. What according to you have been the advantages and disadvantages of this particular legal entity?
12. How apparent is your legal entity to customers, suppliers and other stakeholders? (e.g. Is it communicated to the customer-facing side of the business or used for marketing?)
13. Are there specific challenges in your creative field (e.g., arts, fashion, film, design) that affect how you raise funds?
14. Do you think funders understand the needs of your specific sub sector?
15. What are some of the other factors driving funding opportunities?
16. In what ways could the funding experience be made easier and accessible for you?
17. In what ways has funding helped the growth trajectory of the business in its different phases?



APPENDIX C

Questions for Funders

1. What kind of businesses do you typically fund?
2. What are the factors driving your decision to fund?
3. To what extent does the decision depend on the legal entity of that business?
4. Are there certain legal entities perceived to be more fundable/reliable than others?
5. How flexible are your guidelines when it comes to unconventional or hybrid entities (e.g., informal collectives, social enterprises)?
6. In your experience, have you found that certain legal forms are better suited to companies at different stages of their growth?
7. If applicable: How do you regard co-ops in your funding criteria?
8. What support would you like creative businesses to have before they apply to you (e.g., training, legal advice)?
9. Have you encountered any challenges in financing different types of companies?
10. To what extent has the Ownership Hub supported your work with creative companies or influenced your funding decisions in the region?
11. Do you provide any following-up support to the business you fund?



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